elected from among the stockholders and one government-appointed nominee. Each Presidency would have a branch with offices round the country. It provided for conversion into bank stock of £8.5 million of public debt and was to enjoy the right of note issue. The idea proved to be stillborn with the Directors of the East India Company rejecting it outright. Even the Governor General in Council of Bengal expressed his reservations on the practicability of the scheme.[1]

Nearly three decades later, a proposal for 'a Grand Banking Establishment for British India' was submitted to the Court of Directors of the East India Company by a body of merchants in England having trade relations with India. The crux of their argument was that the Bank of Bengal's (the only Presidency Bank in existence at the time), 'immediate connection' with the government prevented it from being as efficient and as useful 'as a Bank ought to be and might be made.'[2] The bank would facilitate use of surplus capital in England for the general improvement of Indian commerce. It would also manage public debt and facilitate revenue receipts and expenditure. The government would oversee the working of the bank rather than be a partner. The proposal was referred to the Bank of Bengal for comments. Unsurprisingly, the remarks offered were unfavorable: the bank did not fancy a new entrant poaching on its turf. The Bank of Bengal showed willingness to take over the management of government business and extend banking in India without interference from London.

Another proposal (which also remained on paper), was the one made by James Wilson, India's first Finance Member in March 1860, in his speech in the Indian Legislative Council on the Bill for establishment of a paper currency in India.[3] Wilson's scheme, of which very few details exist, envisaged 'a national banking establishment in India capable of gradually embracing the great Banking operations in India, and of extending its Branches to the interior trading cities as opportunity might offer.'[4] It was to be modeled on the banking department of the Bank of England. Wilson died five months later and even though his successor Samuel Laing supported this proposal, nothing came of it.

In 1866, Sir Bartle Frere, Member of the Viceroy's Council, made the first move towards the amalgamation of the Presidency Banks. He said that it was impossible that the government should go on with three banks. Sir